

Global Semiconductor Capital Equipment

China WFE Import Tracker (June 2026): YTD YoY -10%, June YoY flat, import gradually recovering



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We track monthly Wafer Fabrication Equipment (WFE) imports to China through data from China Customs ([link](#)); this call provides an update to the June 2026 data ([excel](#)) and our analysis. June import was \$3.4 billion, +57% MoM and +1% YoY. YTD YoY -10%, mainly dragged by Lithography (YTD YoY -18%) and Dry Etch (YTD YoY -14%). **June imports back to flat YoY, and we expect 2H import to recover as memory WFE import should be much stronger.**

June single month total WFE imports at USD 3.4bn, slightly higher than last year average of \$3.2bn. June YTD at USD 16bn, YoY -10%. Litho import was USD 842mn, YoY +3%, continued recovering from April's historical low point and became flattish compared to monthly average level in 2025. YTD's weak import was mostly dragged by Lithography due to supply shortage, YTD Litho import was USD 2.98bn, YoY -18%. By region, import from Singapore/Taiwan, China showed strong growth, YoY+25%/20% YTD. June YTD import from Singapore + US + Malaysia was USD 6.6bn, YoY+1%. YTD Shanghai & Beijing import were USD 5.6/3.5bn, as the largest import regions, accounting for 36%/22% share.

June Litho imports of EUR 697Mn was up 196% MoM and 8% YoY. However, Q2 26 Imports was down -24% QoQ and -9% YoY. Our model estimates that China sales will reach EUR 1.02Bn in Q2, down 14% QoQ and 32% YoY. This implies that China will represent 16% of total system sales in Q2, slightly higher than the actual China system sales reported by ASML of EUR 919Mn representing 14% of system sales. During Q2 results, ASML reiterated that China revenue is expected to decline to 20% of total revenue in FY26, compared to 33% in FY25. While we also forecast China declining as a % of revenue, we believe China demand will remain solid over the next few years, driven by persistently strong investment in capacity expansion, particularly in advanced logic. ASML's recent plans to expand DUV capacity by 30% over the next two years further reinforce our thesis.

For LRCX, the June data (3-month correlation) suggests Jun-Q China revenues would decrease ~24% QoQ, with China exposure landing at ~23% of total revenues based on consensus revenue estimates. This appears at least directionally consistent with management commentary that China exposure will decline sequentially in the June quarter.

For AMAT, the June data (2-month correlation) suggests Jul-Q China revenues would increase ~29% QoQ, with China exposure landing at ~30% of total revenues based on consensus revenue estimates. We note that management did not give guidance for China revenues in the July quarter, but suggested that their China business would be flattish to slightly up in the calendar year.

Continued on next page

For KLAC, the June data (3-month correlation) suggests Jun-Q China revenues would increase ~23% QoQ, with China exposure landing at ~28% of total revenues based on consensus revenue estimates. Management didn't provide guidance for their China revenue exposure this quarter, but mentioned that overall China WFE will grow at a slower rate than broader WFE this year.

For TEL, our regression suggests TEL's China revenue could be +7% YoY and +19% QoQ. Our 3-month regression implies slight upside to TEL's JunQ revenue, tracking ahead of consensus of +9% QoQ, and an implied China mix of 30% based on consensus estimates.

For Kokusai, our regression suggests their China revenue could be +37% YoY and +86% QoQ. Our 3-month regression implies upside to consensus of +18% QoQ, and an implied China contribution of 44%.

For Screen, our regression suggests their China revenue could be -45% YoY and -71% QoQ. Our 3-month regression implies downside to consensus of -14% QoQ, and an implied China contribution of 16%.

For Advantest, our regression suggests their China revenue could be +26% YoY and -13% QoQ. Our 3-month regression implies downside to consensus of +2% QoQ, and an implied China contribution of 15%.

BERNSTEIN TICKER TABLE

Ticker	Rating	20 Jul 2026		Price Target	TTM Rel. Perf.	Reported EPS				Reported P/E (x)		
		Cur	Closing Price			Cur	2025A	2026E	2027E	2025A	2026E	2027E
688012.CH (AMEC)	O	CNY	342.50	500.00	150.4%	CNY	3.40	4.95	7.18	100.7	69.3	47.7
002371.CH (NAURA)	O	CNY	676.91	680.00	84.1%	CNY	5.66	10.22	16.41	119.5	66.3	41.3
688072.CH (Piotech)	O	CNY	637.05	580.00	262.9%	CNY	3.32	8.12	12.40	191.9	78.4	51.4
8035.JP (Tokyo Electron)	O	JPY	65,100	59,200	93.4%	JPY	1,250.88	1,504.14	1,848.77	52.0	43.3	35.2
6525.JP (Kokusai)	O	JPY	8,801.00	8,240.00	123.1%	JPY	128.63	200.23	260.07	68.4	44.0	33.8
7735.JP (Screen)	M	JPY	16,510	12,600	134.6%	JPY	486.61	572.60	662.24	33.9	28.8	24.9
6857.JP (Advantest)	O	JPY	27,505	39,200	105.6%	JPY	514.52	735.65	870.09	53.5	37.4	31.6
AMAT (Applied Materials)	O	USD	525.70	525.00	157.6%	USD	9.42	12.17	15.56	55.8	43.2	33.8
LRCX (Lam Research)	O	USD	306.76	340.00	186.3%	USD	4.14	5.68	7.98	74.2	54.0	38.5
KLAC	O	USD	207.60	197.50	104.5%	USD	3.33	3.69	5.12	62.4	56.2	40.5
ASML (ASML)	O	USD	1,739.02	2,859.00	118.3%	USD	27.95	44.01	60.58	54.4	34.5	25.1
ASML.NA (ASML)	O	EUR	1,520.80	2,500.00	122.4%	EUR	24.72	38.91	53.56	61.5	39.1	28.4
ASIAx			1,865.18									
JPL			2,545.21									
SPX			7,457.69									
EDME			1,592.62									

O - Outperform, M - Market-Perform, U - Underperform, NR - Not Rated, CS - Coverage Suspended

AMAT, LRCX, KLAC estimate is Adjusted EPS; AMAT, LRCX, KLAC valuation is Adjusted P/E (x);

Source: Bloomberg, Bernstein estimates and analysis.

INVESTMENT IMPLICATIONS

NAURA (Outperform, CNY 680.00): As the domestic WFE leader, NAURA has the broadest product portfolio covering Deposition (PVD, CVD), Dry Etch (ICP), Thermo Processes, and Cleaning, as well as a more diverse client base covering leading logic, DRAM, NAND players, benefiting from the WFE domestic substitution in China with acceleration share gain.

AMEC (Outperform, CNY 500.00): Primarily focused on Dry Etch (CCP, ICP) with rapid expansion in Deposition (ALD, LPCVD, EPI), commonly perceived as the domestic WFE company with the best technology and widest global recognition, continue to benefit from the WFE domestic substitution in China with acceleration share gain.

Piotech (Outperform, CNY 580.00): Rising domestic WFE vendor primarily focused on Deposition (PECVD, HDPCVD, SACVD, ALD) with expansion in W2W and C2W hybrid bonding equipment for advanced packaging. Piotech has a strong track record of product innovation, which should allow it to benefit from the WFE domestic substitution in China with acceleration share gain.

Tokyo Electron (Outperform, ¥59,200): TEL is the #4 SPE supplier globally and the biggest Japanese SPE supplier with major presence in 6 product segments. It is expected to gain share and expand margins with competitive pricing after yen depreciation.

Kokusai (Outperform, ¥8,240.00): Batch ALD should see more adoption in advanced nodes especially GAA (gate-all-around). The biggest use of batch ALD is in NAND, and NAND capex recovery is accelerating.

Screen (Market-Perform, ¥12,600): Cleaning intensity is not increasing, and the market is competitive with both global rivals (TEL, Lam) and Chinese (ACMR, Naura). Potential upside from panel level packaging is worth watching.

Advantest (Outperform, ¥39,200): Benefits from rising testing intensity for HBM and Blackwell. As the dominant supplier for HBM tester (~65%) and Nvidia AI GPU (100% share), Advantest should be able to lift ASP and margin with product migration, especially with HBM4 in 2025.

AMAT (Outperform, \$525.00): Exposure to key inflections is strong and valuation vs peers remains attractive.

LRCX (Outperform, \$340.00): The company is benefiting from key inflections (GAA, packaging, HBM, NAND upgrades) and CY26/27

commentary seems supportive.

KLAC (Outperform, \$197.50): Amid positive WFE trends KLAC possesses structural growth drivers, a strong and durable competitive position, lower China replacement risk, and disciplined capital allocation, warranting premium valuation, in our view.

ASML (Outperform, EUR 2,500.00): We rate **ASML Outperform** with a PT of €2,500.00 with 64% upside, driven by DRAM capacity growth acceleration and EUV intensity increase in 1c node. ASML is the top pick of EU Semis.

DETAILS

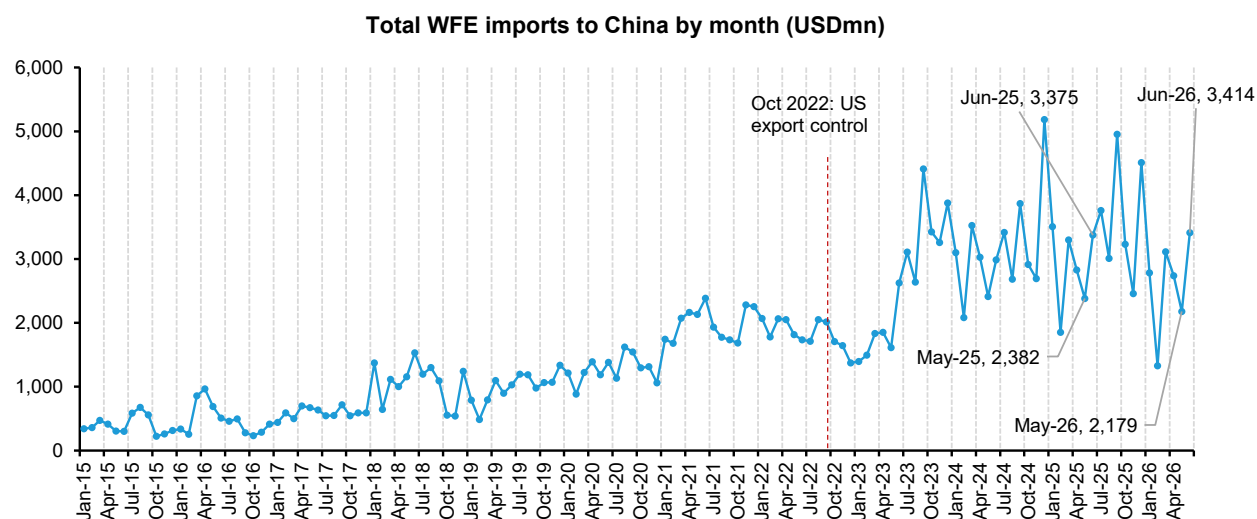
CHINA WFE IMPORT OVERVIEW

China is becoming increasingly important in the global WFE market, and there is intense debate around the sustainability of the demand, tracking the import data to China would provide valuable insights. The China Customs statistics website ([link](#)) provides data on monthly Wafer Fabrication Equipment (WFE) imports to China. This data includes a detailed breakdown by equipment type and region. More details on the data source and analysis methodology are illustrated in the appendix.

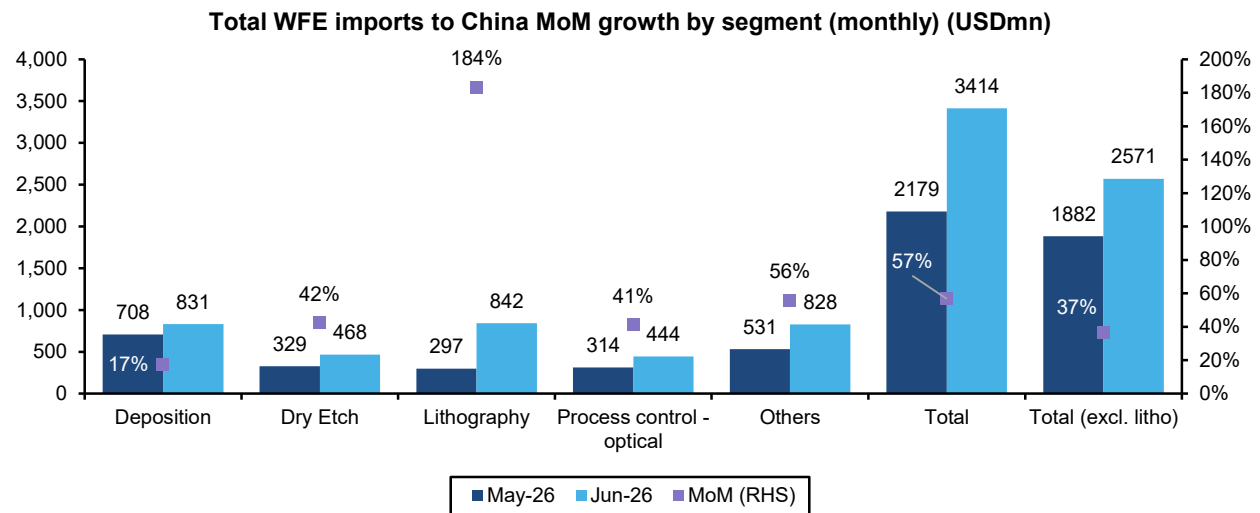
Key statistics for the overall imports are summarized in the below charts:

- **Monthly import data** ([Exhibit 1](#), [Exhibit 2](#), [Exhibit 3](#)): June import was \$3.4bn, slightly higher than last year's average of \$3.2bn/month.
- **By equipment, deposition and dry etch became the main drags for the June imports with double-digit decline YoY.** While lithography kept recovering from previous months' deep decline and resulted positive increase YoY, process control, process control and others showed double-digit increase YoY. By equipment and by import region, Israel and Taiwan, China showed double-digit growth.

EXHIBIT 1: June import was \$3.4 billion

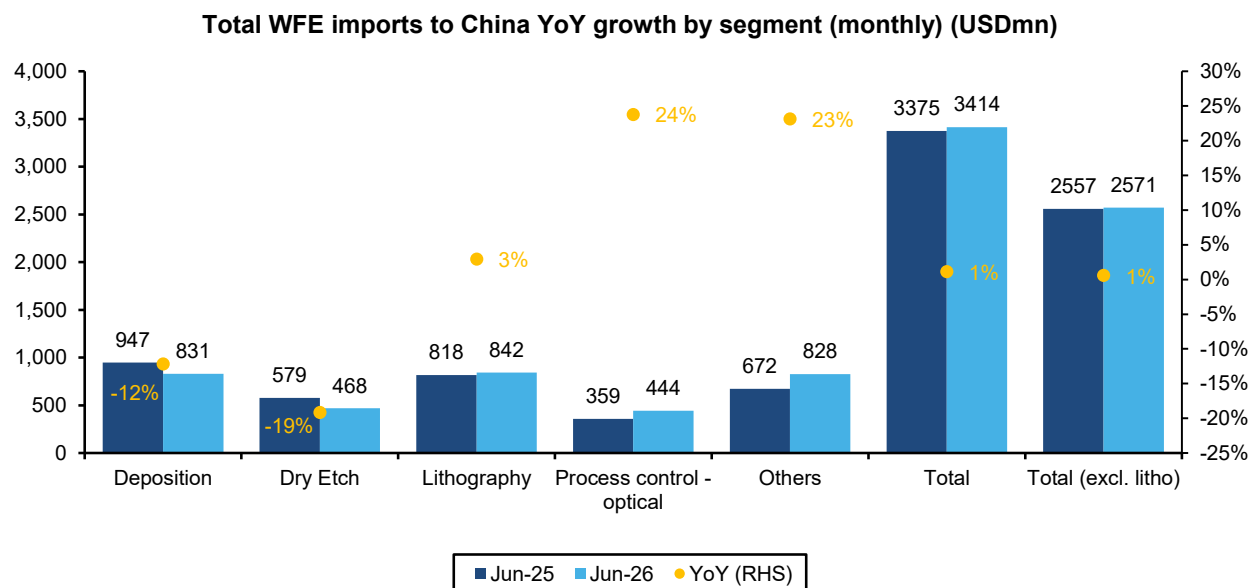


Source: General Administration of Customs of the People's Republic of China, Bernstein analysis

EXHIBIT 2: **Month-over-month showed 57% increase, largely driven by lithography import.**

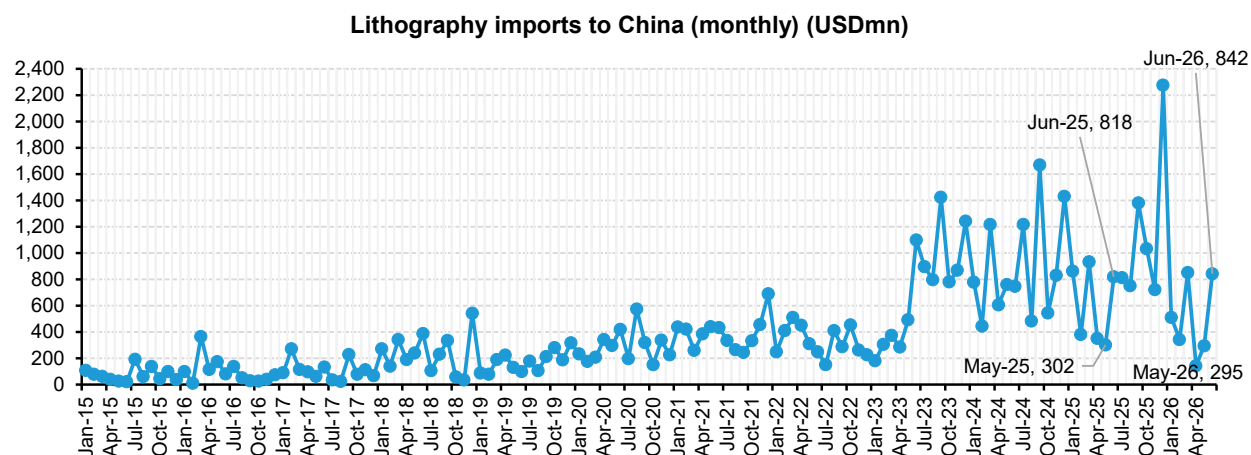
Others include: RTP and Oxidation/Diffusion (84862010), Doping (84862050), and Other equipment used in semiconductor devices or integrated circuits manufacturing (84862090)

Source: General Administration of Customs of the People's Republic of China, Bernstein analysis

EXHIBIT 3: **The year-over-year figures only show a modest increase, given that strong process control and others imports were offset by weak dry etch and deposition imports.**

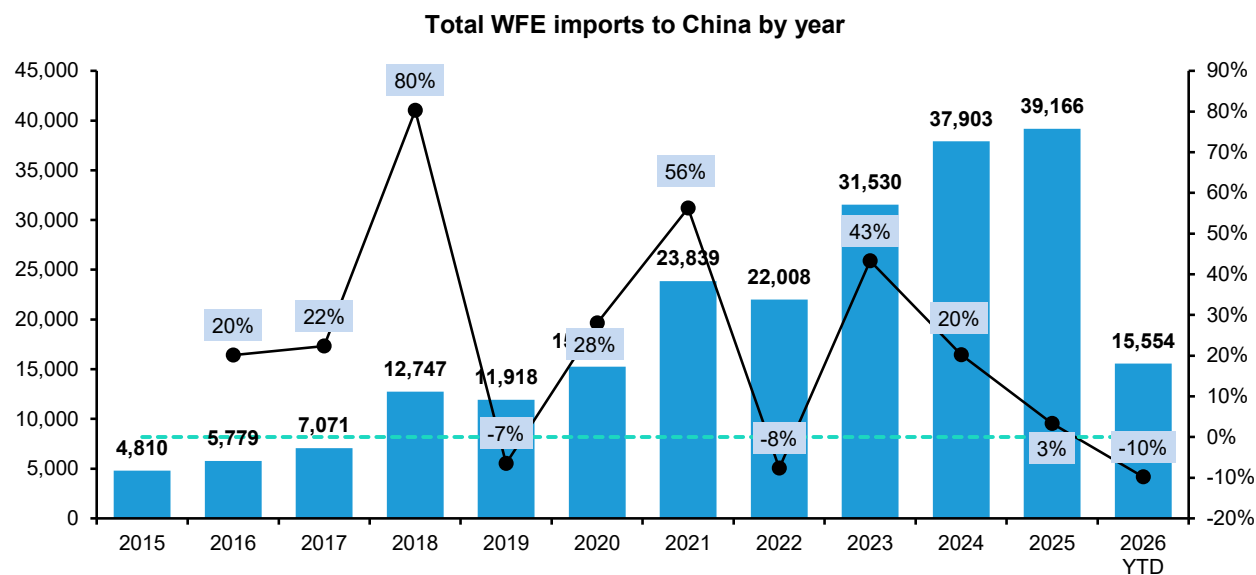
Source: General Administration of Customs of the People's Republic of China, Bernstein analysis

EXHIBIT 4: The lithography import was \$842mn in June 2026, slightly higher than last year



Source: General Administration of Customs of the People's Republic of China, Bernstein analysis

EXHIBIT 5: 2026 YTD import -10% YoY



Source: General Administration of Customs of the People's Republic of China, Bernstein analysis

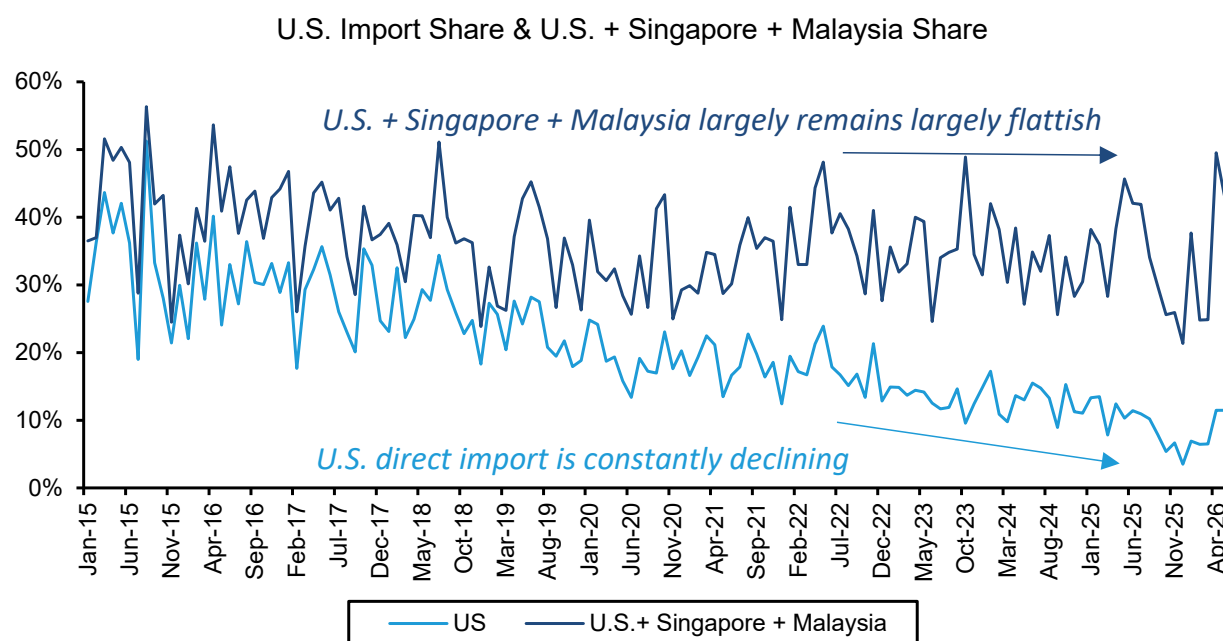
BY REGION & BY EQUIPMENT TYPE SEGMENTATION

From the imports by region breakdown, [Exhibit 7](#) and [Exhibit 8](#) reveal imports from the Netherlands has increased since 2023 due to aggressive lithography imports.

By region, US and SEA imports combined continue to gain share. 2026 YTD US+Malaysia+Singapore import share was 43%, while 2025 US+Malaysia+Singapore import share was 35% and 33% in 2024; 2026 YTD Japan import share was 21%, while 2025 Japan import share was 23% and 26% in 2024; 2026 YTD Netherlands import share was 18%, while 25% in both 2025 & 2024.

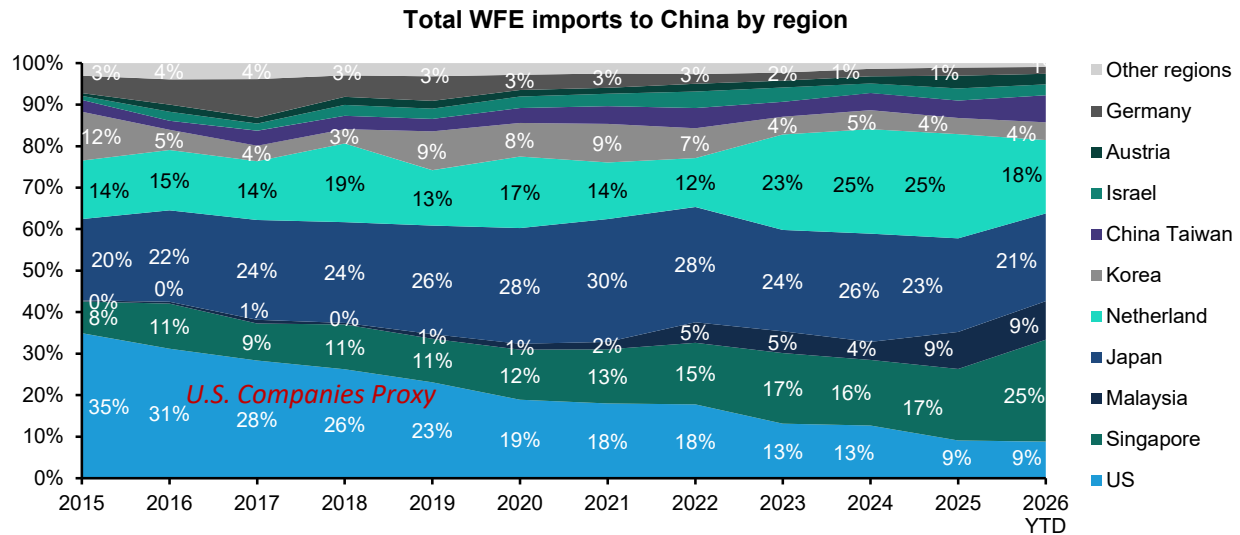
Excluding lithography, there has been a gradual uptick in imports from Singapore/Malaysia since 2021, coupled with a decrease in imports from the US ([Exhibit 8](#)). This trend is likely influenced by US suppliers opting to ship goods from their Singapore/Malaysia production facilities to China instead of directly from the US manufacturing sites (for example, Applied Materials has a Singapore manufacturing site).

EXHIBIT 6: **U.S. import share & U.S. + Singapore + Malaysia import share**



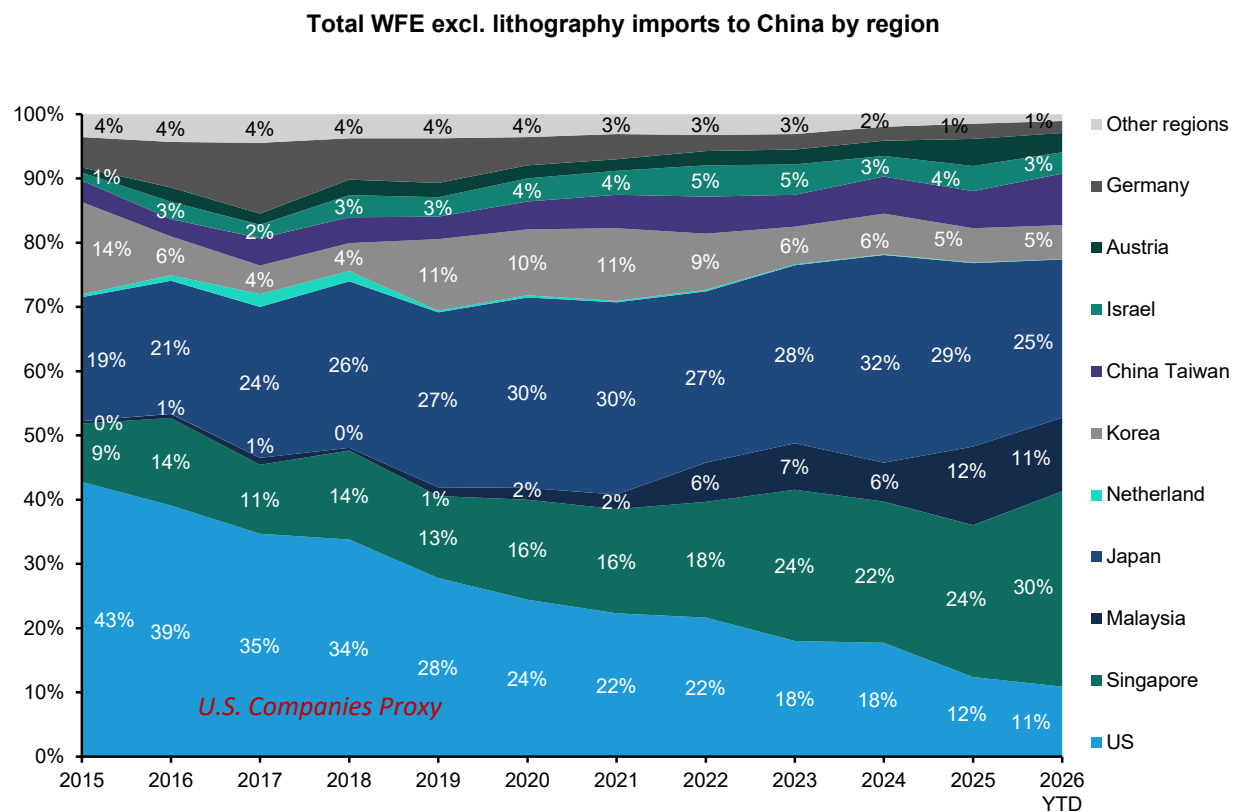
Source: China Custom, Bernstein analysis

EXHIBIT 7: **Netherlands' share decreased, Japan was flat, US+Singapore+Malaysia in aggregate grew slightly**



Source: General Administration of Customs of the People's Republic of China, Bernstein analysis

EXHIBIT 8: **Excluding lithography, there has been a gradual uptick in imports from Singapore and Malaysia to offset the share loss for US, indicating a shift in production for US vendors.**

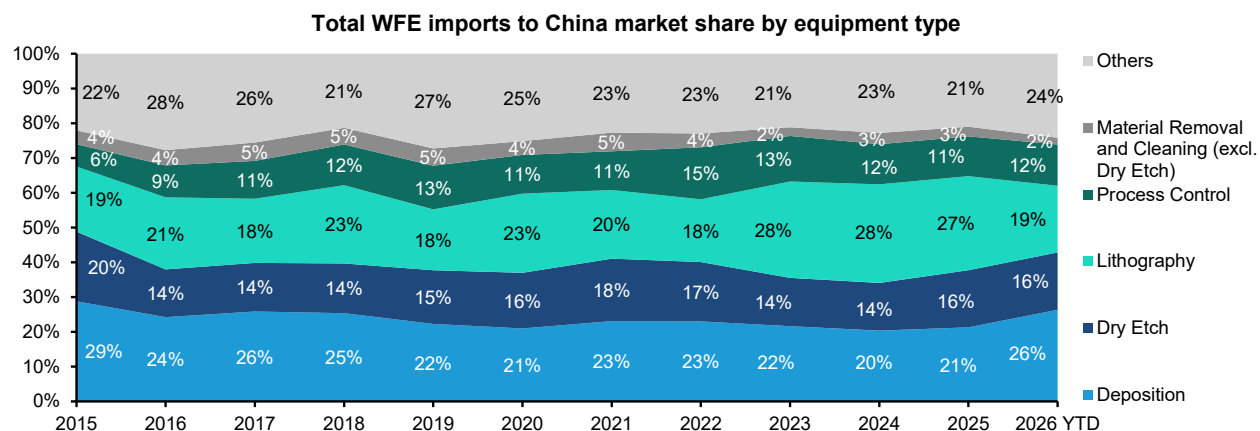


Source: General Administration of Customs of the People's Republic of China, Bernstein analysis

For the imports by equipment type breakdown ([Exhibit 9](#)), Lithography's 2024 share remains high at 28% and is the same as 2023 full-year average (28%). 2025 the share dropped by 1ppt to 27%. In 2026 YTD, the share dropped further to 19%.

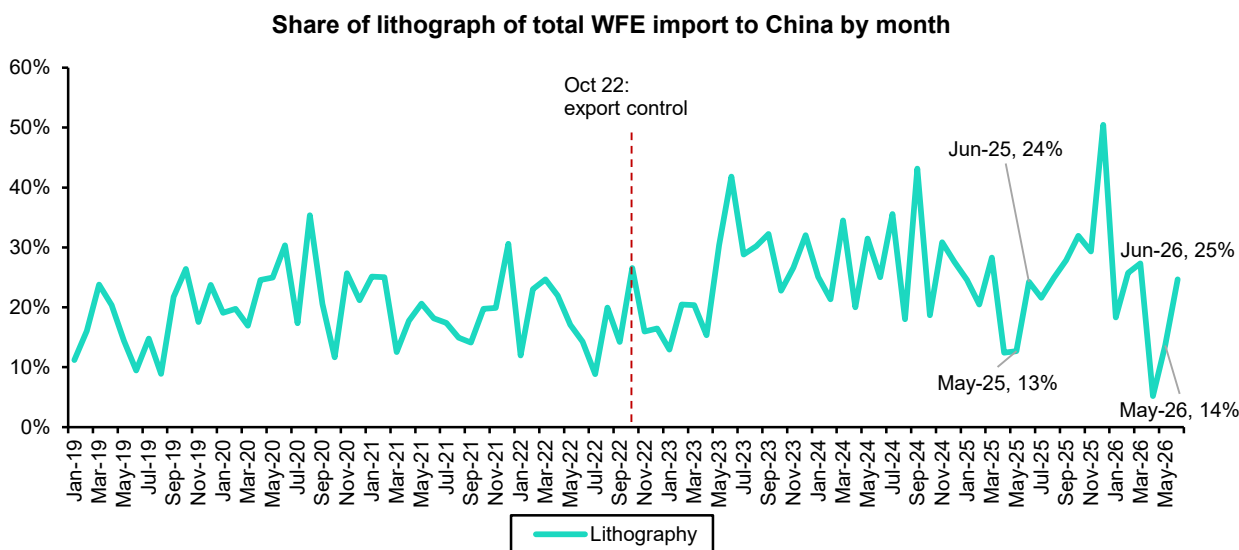
If we further zoom into lithography's monthly import share, it didn't change immediately after Oct 2022 export control, but it took off in June 2023 ([Exhibit 10](#)). By region, the Netherlands's share in lithography imports started to increase in Aug 2023 ([Exhibit 11](#)), and its share gradually expanded over 2024. As a result, 2024 hit a record high at 89% ([Exhibit 12](#)). In 2025, the share further grew to 92%, and it maintained at 92% in YTD 2026.

EXHIBIT 9: In 2025, imported Lithography intensity just slightly dropped by 1ppt, further declined in 2026



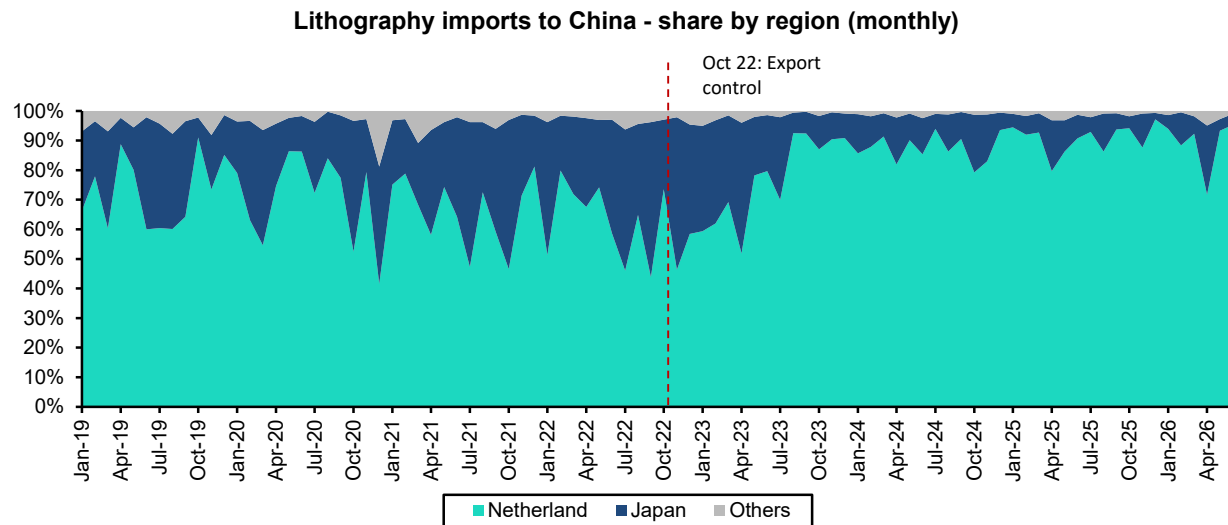
Source: General Administration of Customs of the People's Republic of China, Bernstein analysis

EXHIBIT 10: The share of lithography imports recovered to 25%, flattish compared with that in June 2025



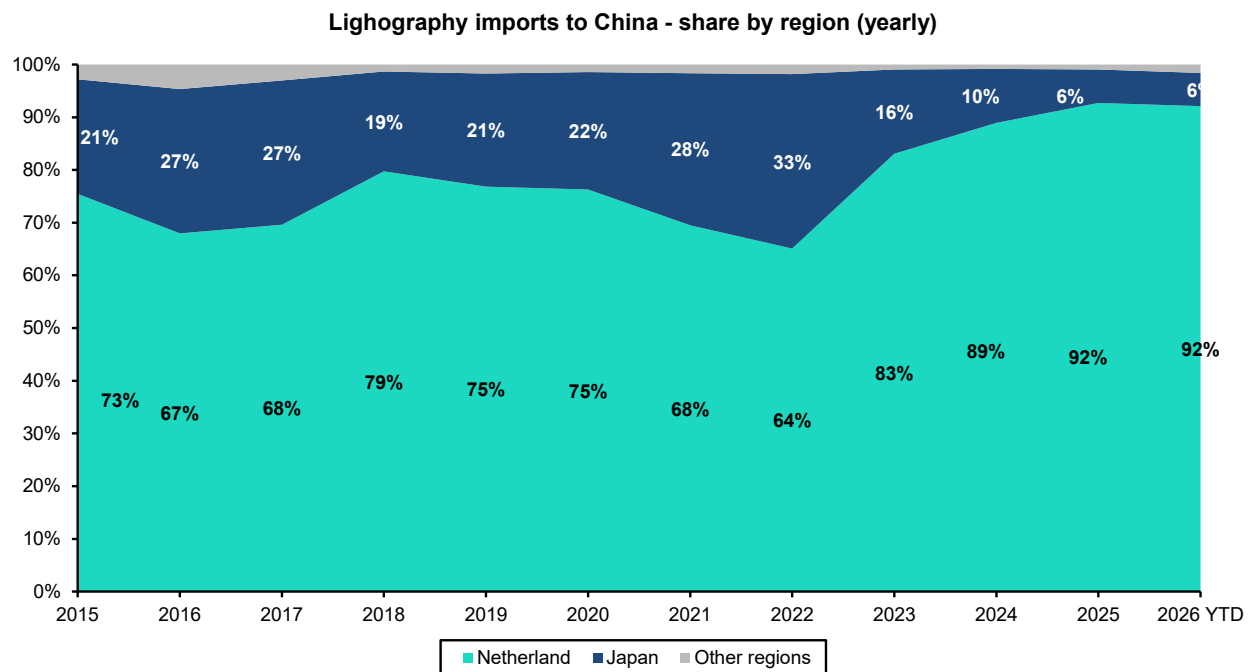
Source: General Administration of Customs of the People's Republic of China, Bernstein analysis

EXHIBIT 11: **Share of lithography imports from Japan has decreased since Aug 2023 and remains relatively low.**



Source: General Administration of Customs of the People's Republic of China, Bernstein analysis

EXHIBIT 12: **Netherlands' lithography imports share increased materially after 2022 and is still increasing in 2026**



Source: General Administration of Customs of the People's Republic of China, Bernstein analysis

REGRESSION ANALYSIS

ASML

June imports of EUR 697Mn was up 196% MoM and 8% YoY. However, Q2 26 Imports was down -24% QoQ and -9% YoY. Our regression model estimates that China sales will reach EUR 1.02Bn in Q2, down 14% QoQ and 32% YoY. This implies that China will represent 16% of total system sales in Q2, slightly higher than the actual China system sales reported by ASML of EUR 919Mn representing 14% of system sales. During Q2 results, ASML reiterated that China revenue is expected to decline to 20% of total revenue in FY26, compared to 33% in FY25. While we also forecast China declining as a % of revenue, we believe China demand will remain solid over the next few years, driven by persistently strong investment in capacity expansion, particularly in advanced logic. ASML's recent plans to expand DUV capacity by 30% over the next two years further reinforce our thesis.

China lithography import data published on the China Customs statistics website has proven useful in predicting ASML's China systems revenue. Our regression model, using three months of data for a given quarter, has a relatively high R^2 of 0.95, indicating solid predictive power. China's lithography imports in June was EUR 697Mn, up 196% MoM and 8% YoY. However, Q2 26 Imports was down -24% QoQ and -9% YoY, due to weak imports in April and May ([Exhibit 13](#)).

Our regression model estimates that China sales will decline to EUR 1.02Bn in Q2, down 14% sequentially and 32% YoY. This implies China revenue representing 16% of Q2 total system sales, down 3 percentage points sequentially compared to Q1 and 11 percentage points lower than the Q2 2025 level of 27%. This is slightly higher to the actual China system sales reported by ASML on the 15th of July of EUR 919Mn representing 14% of total system sales, the lowest level since Q1 2023. During Q2 results, ASML reiterated that China revenue is expected to decline to 20% of total revenue in FY26, compared to 33% in FY25. ([Exhibit 14](#), [Exhibit 15](#), [Exhibit 16](#), [Exhibit 17](#)).

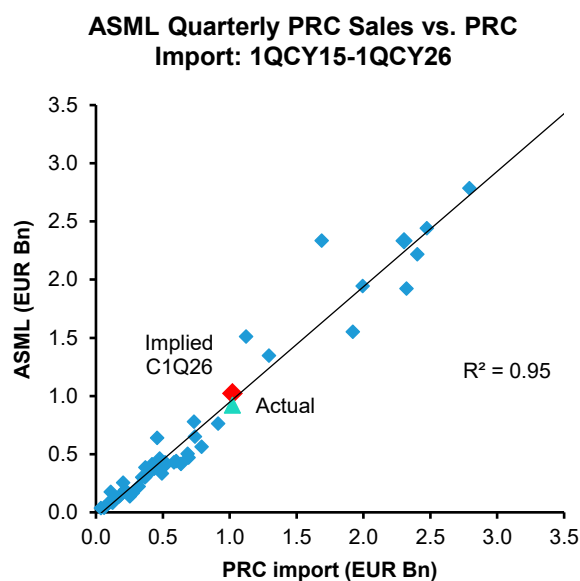
While we also forecast China declining as a % of revenue, we believe China demand will remain solid over the next few years, driven by persistently strong investment in capacity expansion, particularly in advanced logic. ASML's recent plans to expand DUV capacity by 30% over the next two years further reinforce our thesis.

EXHIBIT 13: The correlation between monthly China litho imports and ASML's quarterly China systems revenue (divided by 3) is fairly solid. June imports of EUR 697Mn were up 196% MoM and 8% YoY.



Source: Company reports, General Administration of Customs of the People's Republic of China, Bernstein estimates and analysis

EXHIBIT 14: Our regression yields an R2 of 0.95 indicating robust predictive power using 3M of data. The implied China revenue for 2Q26 is EUR 1.02Bn driven by weak litho imports in April. Our estimate is very close to the actual China systems sales of EUR 919Mn.



Source: Company reports, General Administration of Customs of the People's Republic of China, Bernstein estimates and analysis

EXHIBIT 15: The predicted systems sales from China at EUR 1.02Bn represents a 14% decline QoQ. This implies China revenue representing 16% of Q2 total system sales. This is slightly higher than the actual reported China system sales of EUR 919Mn (14% of Sales)

	Revenue (EUR Mn)			YoY	QoQ
	2QFY25	1QFY26	2QFY26E		
Actual:					
ASML China System Sales	1,511	1,193	919	-39%	-23%
ASML System Sales	5,596	6,279	6,565	17%	5%
Estimates:					
China Sales			1,021	-32%	-14%
China as % of System Sales					
Actual	27%	19%	14%	-13%	-5%
Bernstein est.			16%	-11%	-3%
Consensus est.			16%	-11%	-3%

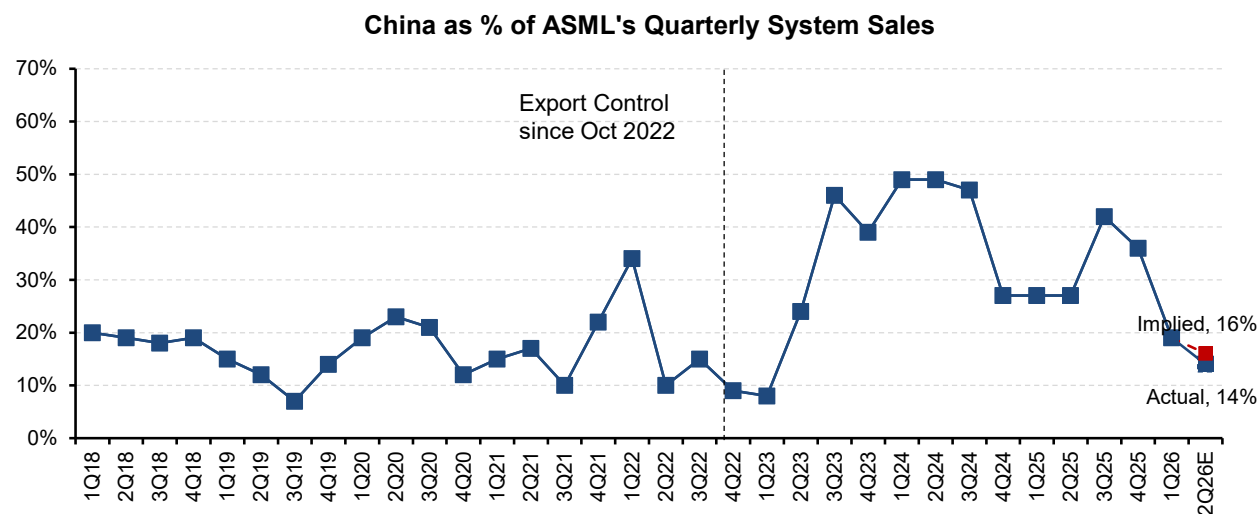
Source: Company reports, General Administration of Customs of the People's Republic of China, Bloomberg, Bernstein estimates and analysis

EXHIBIT 16: Our estimate for ASML's China system sales in Q2 implies a 14% QoQ decline and a 32% YoY drop, marking the lowest level since the restrictions were introduced.



Source: Company reports, General Administration of Customs of the People's Republic of China, Bernstein estimates and analysis

EXHIBIT 17: ASML's China sales was 14% of Q2 total system sales, down 5 percentage points sequentially compared to Q1 and 13 percentage points lower than the Q2 2025 level of 27%. This is below ASML guidance of China at 20% of total sales.

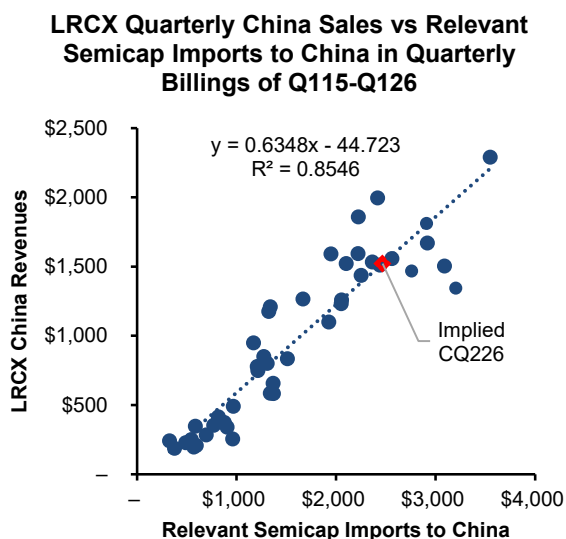


Source: Company reports, General Administration of Customs of the People's Republic of China, Bernstein estimates and analysis

LAM RESEARCH (LRCX), APPLIED MATERIALS (AMAT), AND KLA CORPORATION (KLAC)

For LRCX, the R^2 on the 3-month correlation is ~0.85 and hence should have solid predicting power. The June data (3-month correlation) suggests Jun-Q China revenues would decrease ~24% QoQ, with China exposure landing at ~23% of total revenues based on consensus revenue estimates (**Exhibit 18, Exhibit 19**). This appears at least directionally consistent with management commentary that China exposure will decline sequentially in the June quarter (**Exhibit 20**).

EXHIBIT 18: **LRCX 3-month regression yields R2 of 0.85 and should have solid predictive power...**



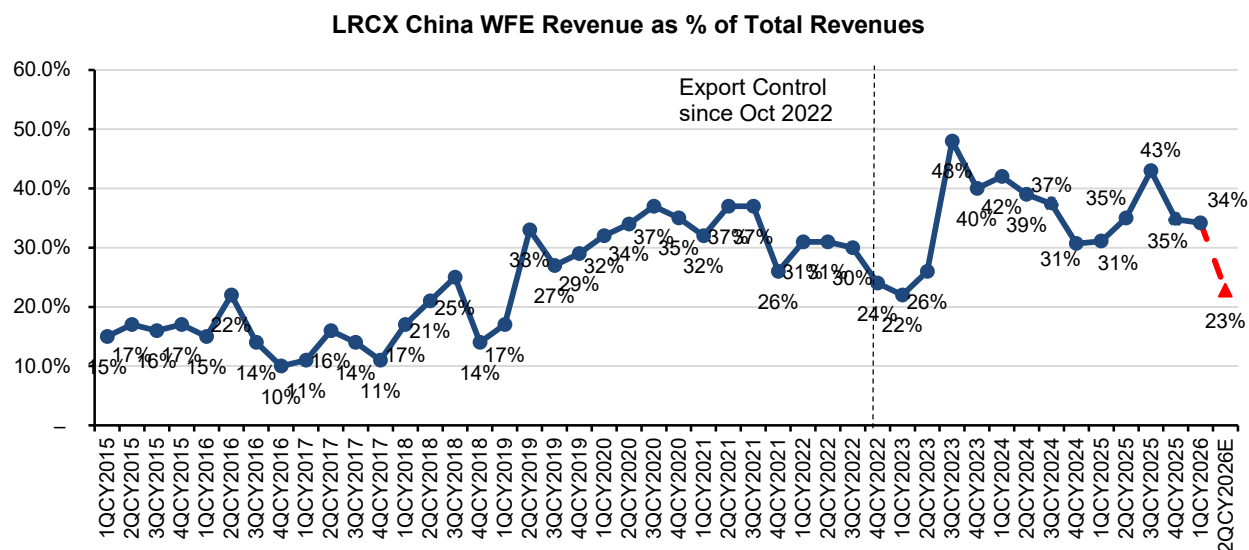
China semicap imports relevant for LRCX, given their manufacturing footprint, include shipments from the U.S., Malaysia, Korea, Taiwan and Austria
Source: Company reports, Bloomberg, General Administration of Customs of the People's Republic of China, Bernstein estimates and analysis

EXHIBIT 19: **...with our analysis suggesting China revenues for LRCX down ~24% sequentially in Jun-Q...**

LRCX	Revenues (\$M, USD)			YoY	QoQ
	2QCY2025	1QCY2026	2QCY2026E		
China Revenues (incl. Predicted Value)	\$1,810	\$1,997	\$1,522	(15.9%)	(23.8%)
Total Revenues (incl. Consensus Estimate)	\$5,171	\$5,841	\$6,665	28.9%	14.1%
China as % of Total	35.0%	34.2%	22.8%		

Source: Company reports, Bloomberg, General Administration of Customs of the People's Republic of China, Bernstein estimates and analysis

EXHIBIT 20: **...with overall Jun-Q China exposure predicted at ~23% vs Mar-Q exposure of ~34%**



Source: Company reports, Bloomberg, General Administration of Customs of the People's Republic of China, Bernstein estimates and analysis

For AMAT, the R^2 on the 2-month correlation is ~ 0.81 and hence should have decent predicting power. The June data (2-month correlation) suggests Jul-Q China revenues would increase $\sim 29\%$ QoQ, with China exposure landing at $\sim 30\%$ of total revenues based on consensus revenue estimates (**Exhibit 21**, **Exhibit 22**). We note that management did not give guidance for China revenues in the July quarter, but suggested that their China business would be flattish to slightly up in the calendar year (**Exhibit 23**).

EXHIBIT 21: The AMAT 2-month regression yield R^2 of 0.81 and hence should have decent predictive power...

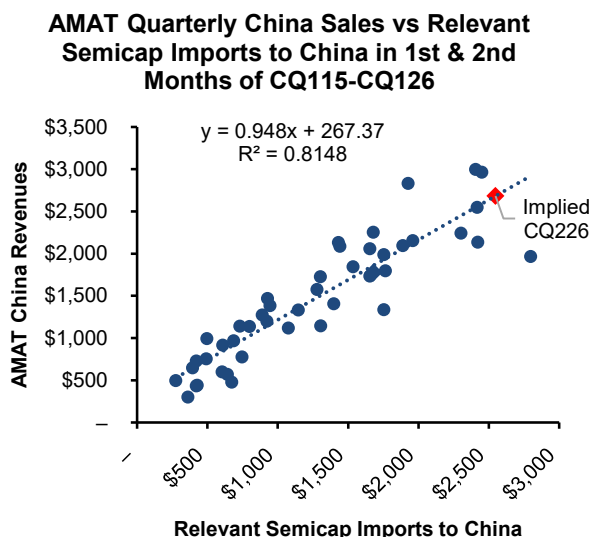


EXHIBIT 22: ...with our analysis suggesting China revenues for AMAT up $\sim 29\%$ sequentially in Jul-Q...

AMAT	Revenues (\$M, USD)			YoY	QoQ
	2QCY2025	1QCY2026	2QCY2026E		
China Revenues (incl. Predicted Value)	\$2,548	\$2,087	\$2,682	5.3%	28.5%
Total Revenues (incl. Consensus Estimate)	\$7,302	\$7,910	\$9,011	23.4%	13.9%
China as % of Total	34.9%	26.4%	29.8%		

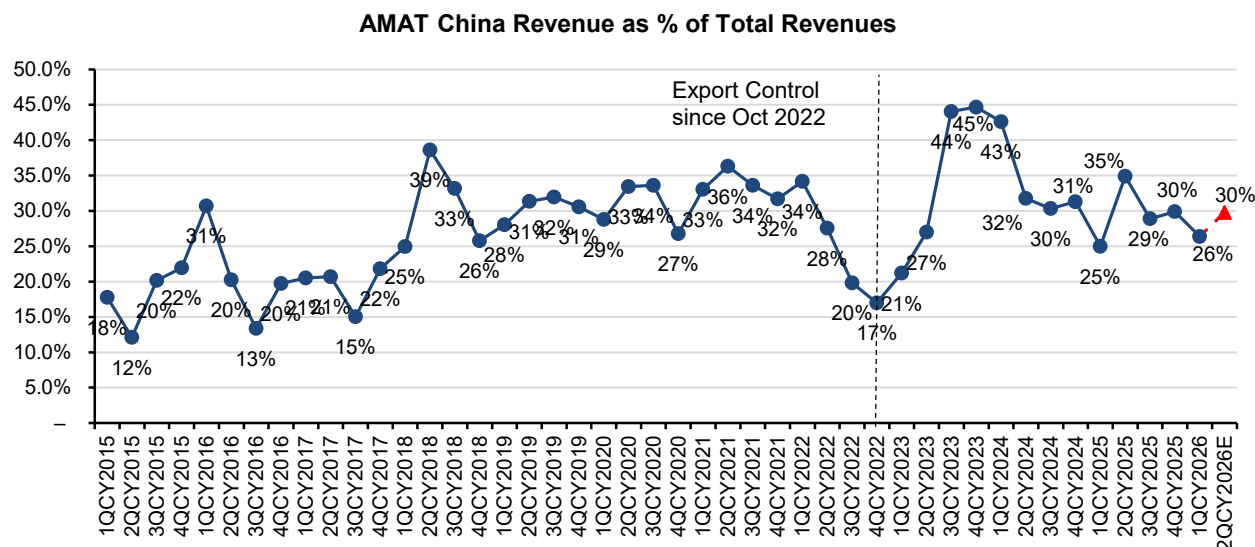
Source: Company reports, Bloomberg, General Administration of Customs of the People's Republic of China, Bernstein estimates and analysis

Normalized for AMAT Fiscal Quarter's ~ 1 month offset.

China semicap imports relevant for AMAT, given their manufacturing footprint, include shipments from the U.S., Singapore, Taiwan, Germany, and Israel.

Source: Company reports, Bloomberg, General Administration of Customs of the People's Republic of China, Bernstein estimates and analysis

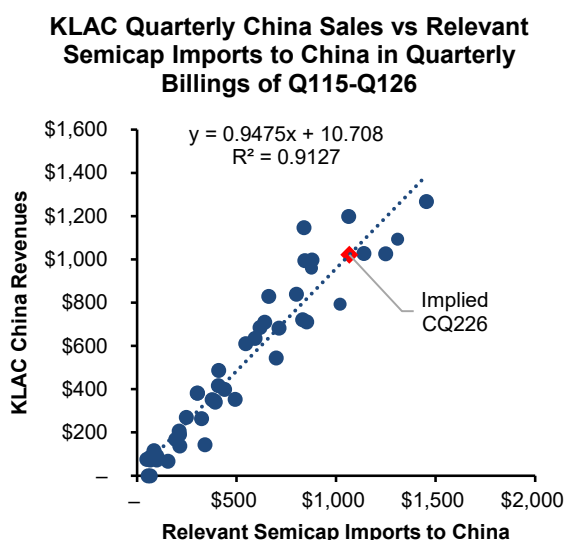
EXHIBIT 23: ...with overall Jul-Q China exposure predicted at $\sim 30\%$ vs Apr-Q exposure of $\sim 26\%$



Source: Company reports, Bloomberg, General Administration of Customs of the People's Republic of China, Bernstein estimates and analysis

For KLAC, the R^2 on the 3-month correlation is ~0.91 and hence should have good predicting power. The June data (3-month correlation) suggests Jun-Q China revenues would increase ~23% QoQ, with China exposure landing at ~28% of total revenues based on consensus revenue estimates (**Exhibit 24**, **Exhibit 25**). Management didn't provide guidance for their China revenue exposure this quarter, but mentioned that overall China WFE will grow at a slower rate than broader WFE this year (**Exhibit 26**).

EXHIBIT 24: The KLAC 3-month regression yields R2 of 0.91 and hence should have good predictive power...



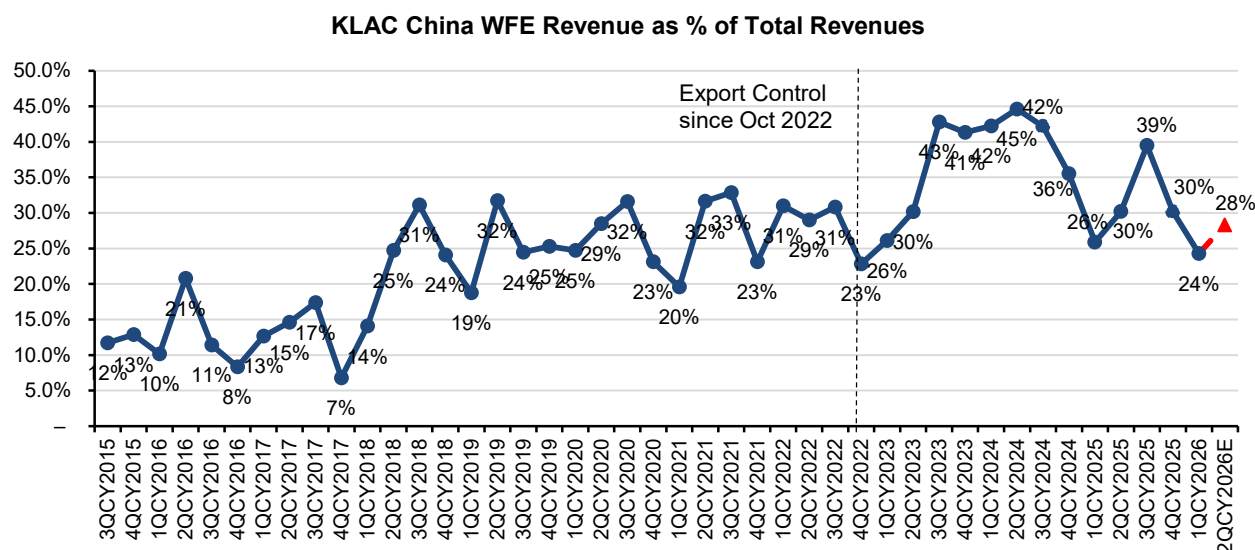
China semicap imports relevant for KLAC include global process control tools.
Source: Company reports, Bloomberg, General Administration of Customs of the People's Republic of China, Bernstein estimates and analysis

EXHIBIT 25: ...with our analysis suggesting China revenues for KLAC up ~23% sequentially in the Jun-Q...

KLAC	Revenues (\$M, USD)			YoY	QoQ
	2QCY2025	1QCY2026	2QCY2026E		
China Revenues (incl. Predicted Value)	\$959	\$830	\$1,021	6.5%	23.1%
Total Revenues (incl. Consensus Estimate)	\$3,175	\$3,415	\$3,606	13.6%	5.6%
China as % of Total	30.2%	24.3%	28.3%		

Source: Company reports, Bloomberg, General Administration of Customs of the People's Republic of China, Bernstein estimates and analysis

EXHIBIT 26: ...with overall Jun-Q China exposure predicted at ~28% vs Mar-Q exposure of ~24%

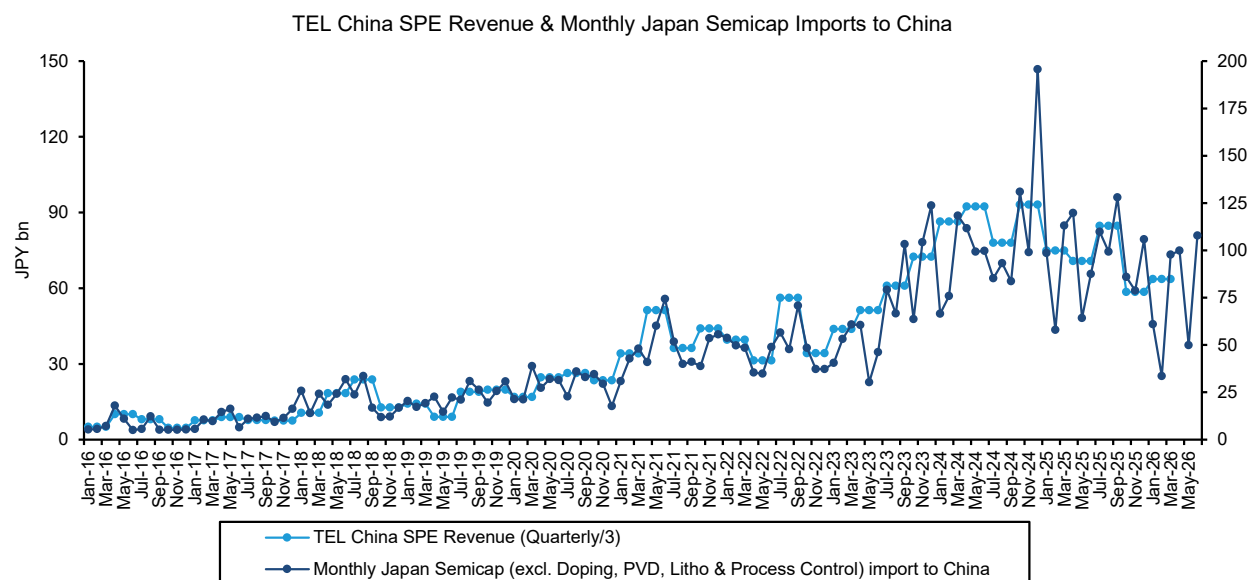


Source: Company reports, Bloomberg, General Administration of Customs of the People's Republic of China, Bernstein estimates and analysis

TOKYO ELECTRON (TEL)

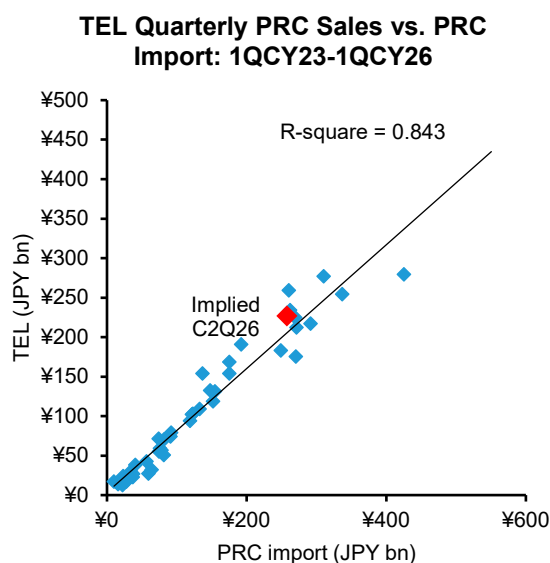
For TEL, the R^2 on the 3-month correlation is ~ 0.84 and hence should have limited predicting power. June import data suggests China revenues would be +19% QoQ. Based on consensus revenue estimates, China exposure is expected to be 30% of SPE revenues (Exhibit 27-Exhibit 30).

EXHIBIT 27: There is good correlation between the monthly imports to China and TEL's quarterly SPE revenue from China divided by 3 without a notable time shift between them.



Source: Company disclosures, General Administration of Customs of the People's Republic of China, Bernstein analysis

EXHIBIT 28: China import yields decent correlation with TEL's China revenue.



Source: Company disclosures, General Administration of Customs of the People's Republic of China, Bernstein estimates and analysis

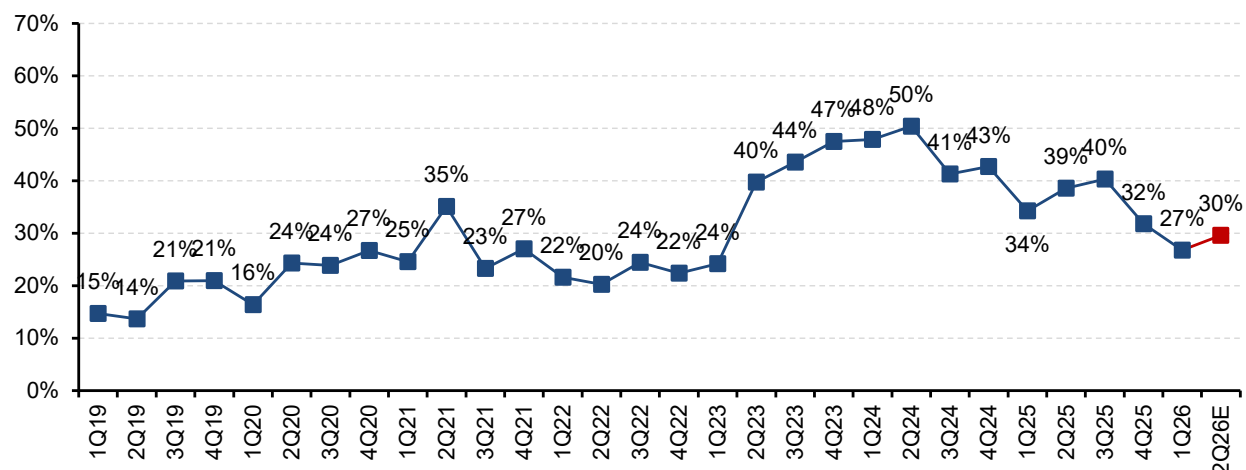
EXHIBIT 29: The regression suggests TEL's revenue from China to be +19% QoQ in JunQ.

	Revenue (JPY B)		QoQ
	4QFY26 (1QCY26)	1QFY27E (2QCY26E)	
China SPE	191	227	19%
Total SPE	703		
Bernstein		756	8%
Consensus		765	9%
China as % of Total SPE Rev	27%		
Bernstein		30%	3%
Consensus		30%	2%

Source: Company disclosures, General Administration of Customs of the People's Republic of China, Bloomberg, Bernstein estimates and analysis

EXHIBIT 30: ...with implied China exposure of 30% vs MarQ exposure of 27%

China as % of TEL's Quarterly SPE Revenue

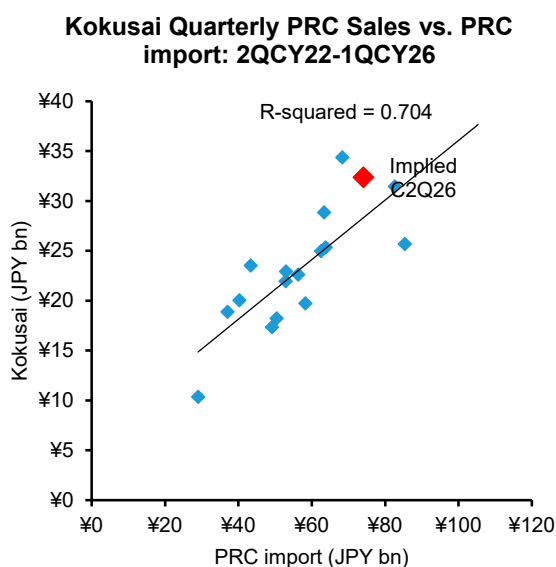


Source: Company disclosures, General Administration of Customs of the People's Republic of China, Bloomberg, Bernstein estimates and analysis

KOKUSAI

For Kokusai, the R^2 on the 3-month correlation is ~0.70 and hence should have decent predicting power. June import data suggests China revenues could be +86% QoQ. Based on consensus revenue estimates, China exposure is implied to jump back to 44% of total revenues (Exhibit 31-Exhibit 33).

EXHIBIT 31: Kokusai's Quarterly China sales shows decent correlation with monthly import.



Source: Company disclosures, General Administration of Customs of the People's Republic of China, Bernstein estimates and analysis

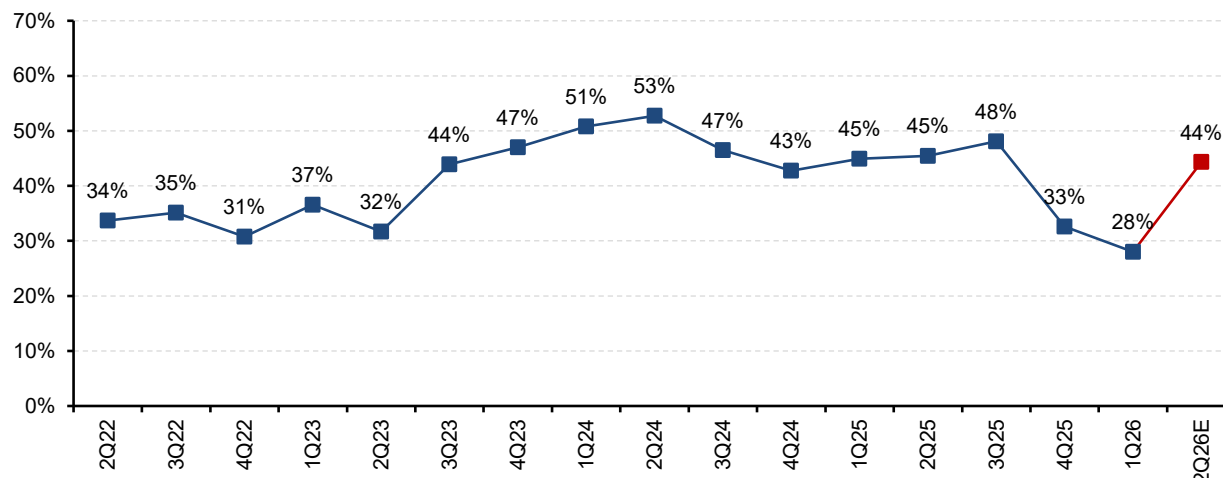
EXHIBIT 32: The regression suggests Kokusai's revenue from China to be +86% QoQ in JunQ.

	Revenue (JPY bn)		QoQ
	4QFY26 (1QCY26)	1QFY27E (2QCY26E)	
PRC Sales	17	32	86%
Total Sales	62		
Bernstein		74	19%
Consensus		73	18%
PRC %	28%		
Bernstein		44%	16%
Consensus		44%	16%

Source: Company disclosures, Bloomberg, General Administration of Customs of the People's Republic of China, Bernstein estimates and analysis

EXHIBIT 33: ...with implied China exposure at 44% vs MarQ exposure of 28%

China as % of Kokusai's Quarterly SPE Revenue

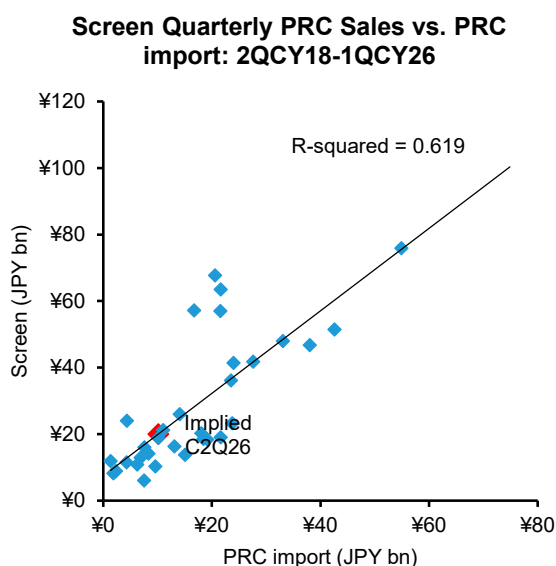


Source: Company disclosures, Bloomberg, General Administration of Customs of the People's Republic of China, Bernstein estimates and analysis

SCREEN

For Screen, the R^2 of the 3-month correlation is ~0.62, indicating some predicative power. The June import data suggests that China revenues could be -71% QoQ. Based on consensus revenue estimates, implied China exposure is expected to be 16% of SPE revenues (Exhibit 34-Exhibit 36).

EXHIBIT 34: Screen's Quarterly China sales shows some correlation with monthly import.



Source: Company reports, General Administration of Customs of the People's Republic of China, Bernstein estimates and analysis

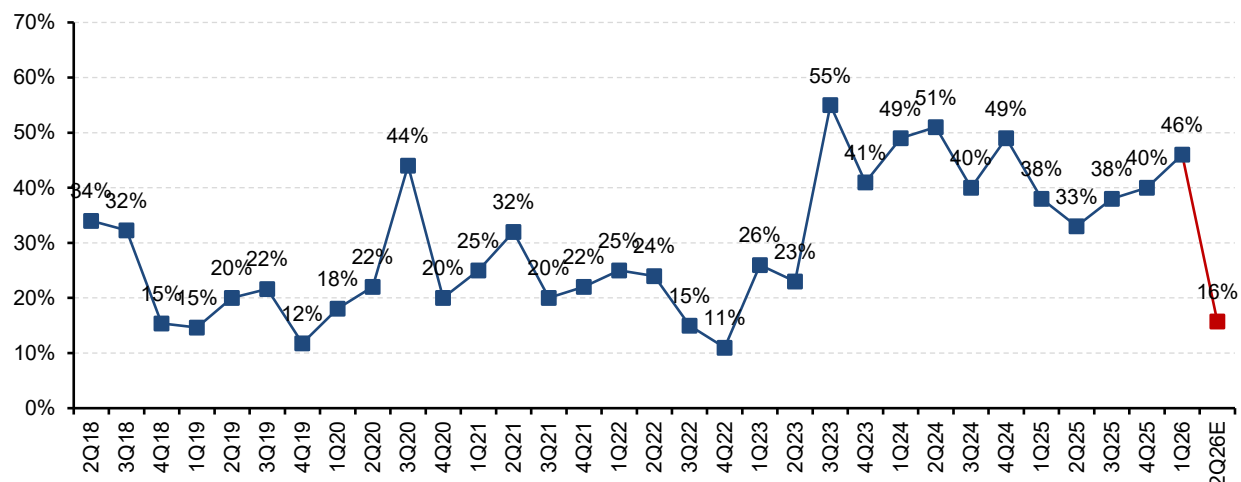
EXHIBIT 35: The regression suggests Screen's revenue from China to be -71% QoQ in JunQ.

	Revenue (JPY bn)		QoQ
	4QFY26 (1QCY26)	1QFY27E (2QCY26E)	
China Sales	68	20	-71%
Total SPE	147		
Bernstein		121	-18%
Consensus		127	-14%
China %	46%		
Bernstein		17%	-29%
Consensus		16%	-30%

Source: Company reports, Bloomberg, General Administration of Customs of the People's Republic of China, Bernstein estimates and analysis

EXHIBIT 36: ...with overall China exposure predicted at 16% vs MarQ exposure of 46%

China as % of Screen's Quarterly SPE Revenue

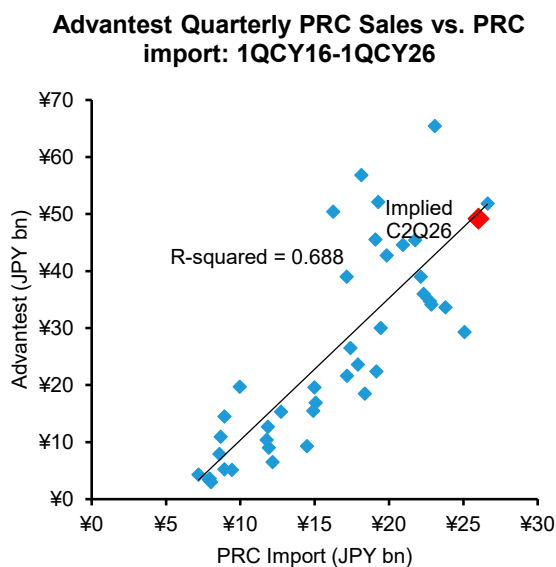


Source: Company disclosures, Bloomberg, General Administration of Customs of the People's Republic of China, Bernstein estimates and analysis

Advantest

For Advantest, the R^2 on the 3-month correlation is ~0.69, indicating some predicting power. June import data suggests China revenues could be -13% QoQ. Based on consensus revenue estimates, China exposure is implied to be dropping to 15%, down from 17% in MarQ (Exhibit 37-Exhibit 39).

EXHIBIT 37: Advantest's Quarterly China sales shows decent correlation with monthly import.



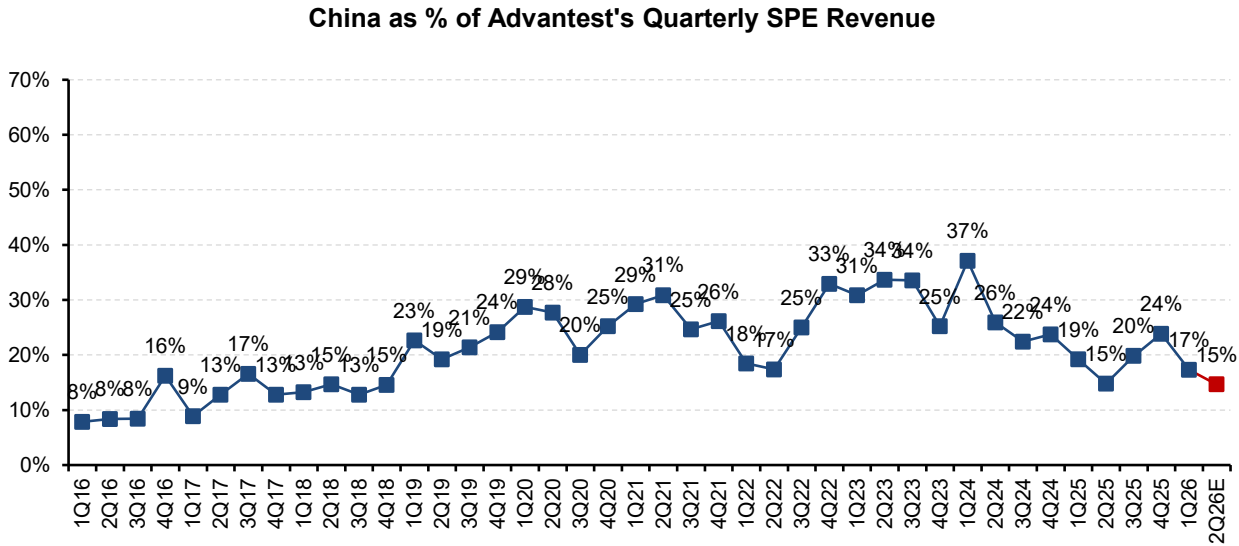
Source: Company reports, General Administration of Customs of the People's Republic of China, Bernstein estimates and analysis

EXHIBIT 38: Our regression suggests Advantest's China sales to be -13% QoQ in JunQ.

	Revenue (JPY bn)		QoQ
	4QFY26 (1QCY26)	1QFY27E (2QCY26E)	
PRC Sales	57	49	-13%
Total Sales	328		
Bernstein		340	4%
Consensus		336	2%
PRC %	17%		
Bernstein		14%	-3%
Consensus		15%	-3%

Source: Company disclosures, Bloomberg, General Administration of Customs of the People's Republic of China, Bernstein estimates and analysis

EXHIBIT 39: ...with overall China exposure predicted at 15% vs MarQ exposure of 17%



Source: Company disclosures, Bloomberg, General Administration of Customs of the People's Republic of China, Bernstein estimates and analysis

APPENDIX: DATA SOURCE AND ANALYSIS METHODOLOGY

We collected the data from the China Customs statistics website ([link](#)), with two major filters:

Equipment types, including 11 codes:

- 84862010: RTP and Oxidation/Diffusion (制半导体器件或IC的氧化扩散等热处理设备)
- 84862021: Deposition - CVD (制造半导体器件或IC的化学气相沉积装置)
- 84862022: Deposition - PVD (制造半导体器件或IC的物理气相沉积装置)
- 84862029: Deposition - Others (其他制半导体器件或集成电路用薄膜沉积设备)
- 84862031: Lithography - Stepper (制半导体器件或集成电路用的分步重复光刻机), which include the following examples:
 - Steppers (for back-end use), 制造半导体器件或集成电路用分布重复光刻机 (后道用)
 - Front-end krypton fluoride (KrF) stepper 制造半导体器件或集成电路用分布重复光刻机 (前道用氟化氪 (KrF) 光刻机)
 - Front-end i-line stepper 制造半导体器件或集成电路用分布重复光刻机 (前道用I线光刻机)
 - Other steppers 其他制造半导体器件或集成电路用分布重复光刻机
- 84862039: Lithography (excl. stepper) (其他投影绘制电路图的制半导体器件或IC的装置), which include the following examples:
 - ArF lithography (excl. stepper) 制造半导体器件或集成电路用的氟化氪 (ArF) 光刻机 (步进式除外)
 - KrF lithography (excl. stepper) 制造半导体器件或集成电路用的氟化氪 (KrF) 光刻机 (步进式除外)
 - EUV (excl. stepper) 制造半导体器件或集成电路用的极紫外 (EUV) 光刻机 (步进式除外)
 - ArFi lithography (excl. stepper) 制造半导体器件或集成电路用的氟化氪浸没式 (ArFi) 光刻机 (步进式除外)
 - Other lithography 未列名制造半导体器件或集成电路用的光刻设备
 - I-line lithography (excl. stepper) 制造半导体器件或集成电路用的I线光刻机 (步进式除外)
- 84862041: Dry Etch (制造半导体器件或IC的等离子体干法刻蚀机)
- 84862049: Material Removal and Cleaning (excl. Dry Etch) (制造半导体器件或IC的其他刻蚀及剥离设备)
- 84862050: Doping (制造半导体器件或集成电路用的离子注入机)
- 84862090: Other equipment used in semiconductor devices or integrated circuits manufacturing (其他制半导体器件或集成电路用的机器及装置)
- 90314100: Process Control - Optical (full name: Optical instruments and apparatus for testing semiconductor wafers and devices (including integrated circuits) or testing photomasks and gratings when manufacturing semiconductor devices (including integrated circuits) 制造半导体器件 (包括集成电路) 时检测半导体晶圆、器件 (包括集成电路) 或检测光掩膜、光栅用的光学仪器及器具)
- Note that the definition of each equipment type can't be strictly mapped to Gartner's categorization; for example, we believe CMP is classified into others in this dataset, while it's a separate category in Gartner's definition.

- Material removal & cleaning category here excludes dry etch equipment (even though dry etch equipment is a type of material removal equipment categorized by Gartner).
- Process Control equipment mainly includes two types: electronic beam and optical; the category 90314100 here only includes optical equipment.

Trading Partners by region, including 10 codes:

- 309: Netherland
- 502: United States
- 116: Japan
- 133: Korea
- 143: China Taiwan
- 132: Singapore
- 304: Germany
- 115: Israel
- 315: Austria
- 122: Malaysia
- LRCX has manufacturing sites in Austria, Korea, Malaysia, China Taiwan, and United States (refer to <https://www.lamresearch.com/company/locations>).
- AMAT has volume manufacturing facilities in the United States, and Singapore, with additional manufacturing facilities in Germany, Israel, Italy, Korea, China Taiwan and the United States (refer to <https://www.appliedmaterials.com/us/en/about/manufacturing.html>).

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